

Software Renewal Review Standards

Legal Operations Standard LO-STD-014 · Version 3.1

VANDELAY INDUSTRIES, INC.
Legal Department · Legal Operations

To	Legal Department leadership; Procurement, Vendor Management; Information Security; Legal Technology
From	Theo Sinclair, Director, Legal Operations
Date	March 3, 2026 (Version 3.1; supersedes Version 3.0 of September 2024)
Re	Standards for reviewing legal technology subscription renewals
Applies to	Any renewal, extension, or re-pricing of a legal technology subscription with annual fees above \$100,000, or any multi-year commitment above \$250,000 in aggregate

1. Purpose

Legal technology subscriptions rarely end. They renew, often automatically, on paper that was negotiated years earlier under a different market and a different set of risks. This standard gives the Legal Department one consistent checklist for reviewing that paper before a renewal takes effect, so that the terms we carry forward are terms we would accept today.

The standard has three parts: the twelve provisions we review on every renewal and the position Vandelay expects on each; the thresholds that determine who must be involved; and the review procedure and scorecard.

2. The twelve provisions

For each provision, the table states the Vandelay standard, why the department cares, and the signals that mean a contract falls short. “Falls short” does not mean “do not renew.” It means the gap must be named, priced, and either negotiated or accepted in writing by the owner listed in Section 3.

2.1 Term, automatic renewal, and notice

Vandelay standard. Renewal terms of no more than three years without Finance Committee approval. The window for delivering notice of non-renewal must be no longer than 90 days before the end of the term, and the vendor must deliver written notice of any proposed change to price or material terms at least 120 days before the renewal date. Vandelay must hold a right to terminate for convenience on 90 days' notice with a reasonable early-termination fee, and a right to terminate without fee for chronic service-level failure or a material security incident.

Why it matters. A notice window that is longer than the department's planning cycle converts a renewal decision into an accident. Every amendment can move this date; check the most recent one, not the master.

Red flags. Notice windows above 90 days. Notice windows changed by amendment without a corresponding vendor obligation to pre-notify changes. No termination right other than for breach.

2.2 Renewal pricing and escalators

Vandelay standard. Annual increases inside a term capped at the lesser of CPI-U or 4 percent. Increases at renewal capped at the same rate unless Vandelay agrees otherwise in writing after a competitive check. A most-favored-customer clause or, failing that, a benchmarking right exercisable every two years with a price adjustment if Vandelay is more than 10 percent above market for comparable deployments. No fee change effective on less than 120 days' notice.

Why it matters. Uncapped renewal pricing hands the vendor unilateral pricing authority at the moment Vandelay's switching cost is highest.

Red flags. Caps that apply only to the initial term. "Then-current list price" language for renewals. Increases effective on 30 days' notice.

2.3 Service levels and remedies

Vandelay standard. Availability of at least 99.9 percent, measured monthly. Service credits calculated per incident at 10 to 20 percent of the monthly fee, applied automatically without a claim, and not forfeited if Vandelay terminates. A right to terminate without fee after three service-level failures in any rolling twelve months. Response and resolution targets by severity, with a one-hour first response for Priority 1 incidents.

Why it matters. A service level that is measured annually, credited annually, and claimable only within a short window is a marketing statement, not a remedy.

Red flags. Annual measurement periods. Credits as sole remedy with a cap below 10 percent of annual fees. Credits that must be requested. Forfeiture on termination. Exclusions for "scheduled maintenance" without a cap on maintenance hours.

2.4 Data ownership, export, and exit

Vandelay standard. Vandelay owns all content and metadata. On termination or expiry the vendor provides an export in native file formats with metadata in a standard machine-readable format (CSV or JSON), assisted by the vendor at no charge, with at least 180 days of post-termination read access. No deletion of Vandelay data without written confirmation from Vandelay.

Why it matters. The department's work product for a decade lives in these systems. Exit terms determine whether Vandelay can ever credibly consider an alternative.

Red flags. Self-export windows of 30 to 60 days. Export "on request" at time-and-materials rates. Automatic deletion clocks. Proprietary export formats.

2.5 Security obligations and certifications

Vandelay standard. SOC 2 Type II and ISO 27001 maintained as contractual obligations, with the current report or certificate delivered annually without request. Breach notification within 48 hours of discovery. An annual right to audit or to commission an assessment. An annual penetration test summary. A published subprocessor list with 30 days' notice of changes and a right to object.

Why it matters. "Industry standard safeguards" is unenforceable. A certification that lapsed two years ago and a bridge letter that is eighteen months old are the same thing as no certification.

Red flags. No named certifications. Bridge letters older than six months. No breach-notification timeline. No audit right.

2.6 Data processing and privacy

Vandelay standard. A standalone Data Processing Agreement with processor obligations under the GDPR and UK GDPR (for London and Dublin staff) and service-provider obligations under the CCPA and CPRA. Data residency options for EU personal data. Retention limits tied to the term. Cooperation with data-subject requests.

Why it matters. The Legal Department employs people in four countries and holds personal data about many more.

Red flags. Privacy handled by reference to a vendor web page. No DPA. No residency options.

2.7 Use of Vandelay data for artificial intelligence

Vandelay standard. The vendor may not use Vandelay content, metadata, or usage data to train, fine-tune, or improve any model made available to any other customer, whether or not the data is described as de-identified, aggregated, or anonymized, without Vandelay's express written opt-in for the specific use. Tuning scoped to Vandelay's own tenant is permitted with notice. The vendor must disclose which features send Vandelay data to third-party model providers and under what terms.

Vandelay may disable AI features at the feature level. Outputs generated from Vandelay data belong to Vandelay.

Why it matters. AI features are now the vendor's primary justification for price increases and the primary new use of Vandelay's confidential and privileged material. Terms written before 2023 are silent, and silence favors the vendor.

Red flags. "De-identified" or "aggregated" carve-outs permitting cross-customer training. AI terms introduced by an addendum that also carries a price increase. No feature-level opt-out. Any pilot terms that broaden on renewal.

2.8 Limitation of liability

Vandelay standard. General cap of no less than twelve months' fees. A super-cap of two to three times annual fees for breach of security, confidentiality, or data protection obligations. Uncapped liability for willful misconduct, gross negligence, and the vendor's indemnification obligations. Carve-outs from the exclusion of consequential damages for data breach and confidentiality breach.

Why it matters. A cap equal to one year's subscription fee bears no relationship to the exposure created by a breach of a system holding the department's privileged material.

Red flags. Single cap with no carve-outs. Caps that exclude the vendor's own indemnities. Liability disclaimers tied to optional features Vandelay did not buy.

2.9 Indemnification

Vandelay standard. Vendor indemnifies for third-party intellectual property claims including patent, for data breach and security incidents caused by the vendor, and for the vendor's violation of privacy law. Vendor bears notification and remediation costs, including credit monitoring where applicable.

Red flags. Indemnity limited to copyright and trademark. No breach indemnity.

2.10 Confidentiality survival

Vandelay standard. Confidentiality obligations survive for five years after termination, and indefinitely for trade secrets and for material subject to attorney-client privilege or the work-product doctrine.

Red flags. Survival of three years or less. No carve-out for privileged material.

2.11 Assignment and change of control

Vandelay standard. No assignment without Vandelay's consent except to a successor that assumes all obligations in writing. Vendor must notify Vandelay within ten days of any change of control. Vandelay may terminate without fee within 90 days of a change of control.

Why it matters. Legal technology vendors change hands frequently. The counterparty Vandelay evaluated is not always the counterparty it is renewing with.

Red flags. Free assignment on sale of assets or equity. No change-of-control notice.

2.12 Governing law and venue

Vandelay standard. New York law and New York venue, or a mutual home-forum arrangement with New York law governing the data protection provisions.

Red flags. Vendor home-state law with venue in the vendor's home city.

3. Thresholds and owners

Trigger	Required involvement
Any renewal in scope of this standard	Legal Operations completes the scorecard in Section 4 before the earlier of the notice deadline or 90 days before term end
Annual fees above \$250,000 or increase above 10 percent	Procurement competitive check (rapid RFI at minimum, 10 business days)
Multi-year commitment above \$500,000 in aggregate	Finance Committee approval; committee meets monthly
Any AI or machine-learning term, new or changed	Privacy & Data Protection review (Deputy General Counsel)
Any security, certification, or subprocessor term	Information Security review (CISO office)
Any custom integration affected	Legal Technology impact assessment
Any change of control at the vendor since last renewal	Vendor Management viability review

4. Procedure and scorecard

1. **Assemble the complete paper.** The master agreement, every amendment, every order form, the current data processing agreement, and the vendor's current security documentation. Amendments override the master; read the most recent first.
2. **Score each provision.** For each of the twelve, record what the contract actually says, with a section reference, and mark it Meets, Partially meets, or Falls short against the standard above.
3. **Pull the operating record.** Invoices, usage, support and incident history, training records, and user feedback for the full term. A contract review without the operating record tells you what you agreed to, not what you got.
4. **Route the gaps.** Every Falls short goes to the owner in Section 3 with a recommendation: negotiate, accept in writing, or walk.
5. **Record the decision.** The completed scorecard and the decision memo are filed with the renewal.

Provision	Vandelay standard (summary)	Contract says (section)	Meets / Partially / Falls short	Owner
2.1 Term, renewal, notice	Notice window 90 days or less; vendor pre-notifies changes at 120 days; termination rights			Legal Ops
2.2 Renewal pricing	Cap at lesser of CPI or 4% inside and at renewal; MFC or benchmarking			Legal Ops / Procurement
2.3 Service levels	99.9% monthly; per-incident automatic credits; chronic-failure termination			Legal Technology
2.4 Data and exit	Vendor-assisted export, standard formats, 180 days, no deletion without confirmation			Records & IG
2.5 Security	SOC 2 Type II and ISO 27001 as obligations; 48h breach notice; audit right			Information Security
2.6 Data processing	Standalone DPA; GDPR, UK GDPR, CCPA/CPRA			Privacy
2.7 AI use of data	No cross-customer			Privacy

	training; tenant-scoped only; feature opt-out	
2.8 Liability	12-month general cap; 2 to 3x super- cap; uncapped for misconduct	Legal (Commercial)
2.9 Indemnification	IP incl. patent; data breach; privacy	Legal (Commercial)
2.10 Confidentiality	5 years; indefinite for privileged	Legal (Commercial)
2.11 Assignment	Consent; change-of- control notice and exit	Vendor Management
2.12 Governing law	New York	Legal (Commercial)

Legal Operations Standard LO-STD-014, Version 3.1. Owner: Director, Legal Operations. Review cycle: annual. Internal use only.